

Donor trends in education

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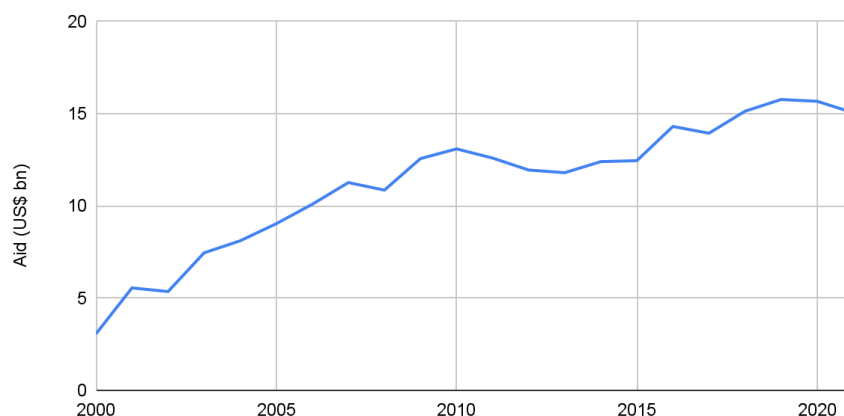
This note analyses key trends in funding by bilateral and multilateral donors, and foundations, to education in low and middle income countries.

1. Current patterns of aid to education

1.1. Bilateral and multilateral donors

Aid data is available from the OECD. Analysis by the Centre for Global Development (CGD) showed that around \$15 billion¹ was spent by official development agencies on education in 2021, of which around \$3 billion go to low-income and \$10 billion to middle-income countries, and the remainder mainly to regional projects (Hares et al., 2023). About \$12 billion was spent bilaterally with the remaining \$3 billion going through multilaterals. Total aid rose from around \$12 billion in 2015 to \$15 billion in 2018, and has remained at around that level since.

Total aid to education, 2000-2020 (US\$ billion, 2020 constant prices)



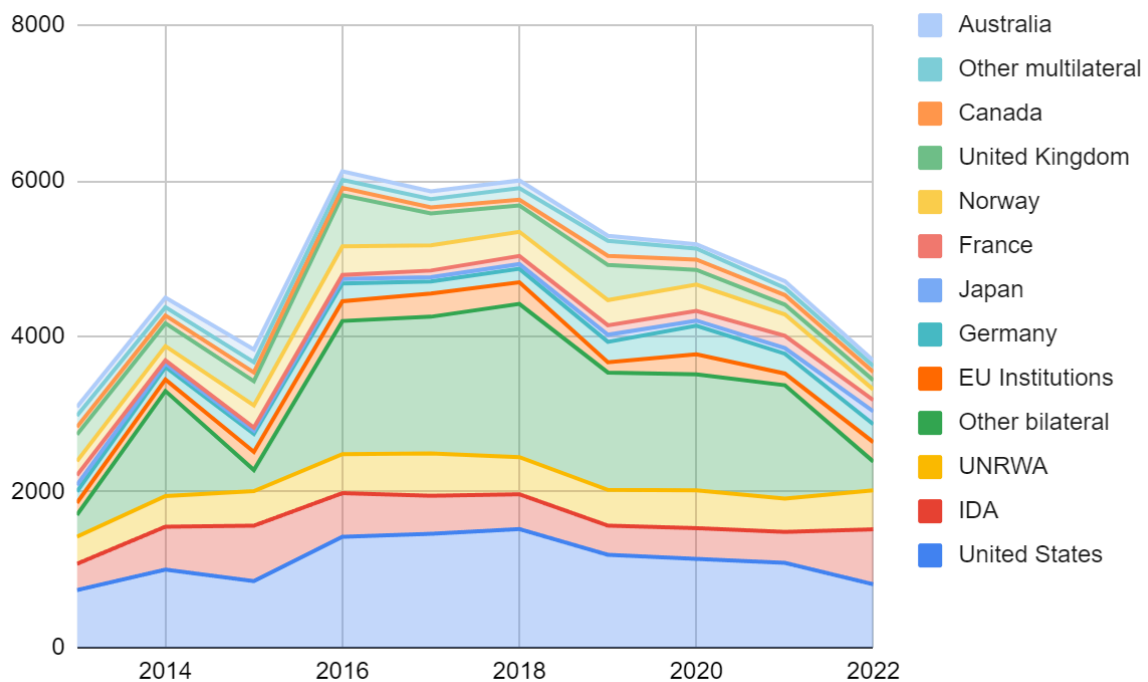
Within **basic education**², the USA, Germany and Japan are the largest bilateral donors as of 2022, with substantial flows also going through IDA (the World Bank), UNRWA and the EU. There has been a notable increase in basic education aid to low-income countries since 2015 (GEM Report UNESCO, 2023). But the UK has notably declined as a donor to basic education, from a peak of \$657m in 2016 to \$120m in 2022. Norway and Australia have also declined from their peak spending on basic education (though it is less clear if these are trends or annual variation due to project cycles).

¹ Figures from the CGD analysis are US\$ in 2020 constant prices.

² ECD, primary and lower secondary. The figures on basic education are directly from the OECD tables, in 2022 constant prices, and differ slightly from the figures used in the CGD analysis (but overall trends are the same).

Germany, Japan and France allocate most of their aid to post-secondary education, mostly by financing students to study in their countries. Despite this, their aid to basic education has risen so that they are now among the largest donors to basic education too. Other substantial bilateral donors to basic education (over US\$30m per annum on average during 2013-2022) include Canada, Australia, Switzerland, the Netherlands, Sweden, and Korea.

Aid to basic education (US\$m), by donor



1.2. Private foundations

Aid from private foundations to education has typically been around \$500m-700m per year since 2013 (UNESCO, 2021). Brazil, India and Kenya were the largest recipients in 2013-2015 (OECD, 2019). The total remains small in comparison to the \$15bn provided by official donors. However it has been boosted by recent large disbursements from the Mastercard Foundation, reaching over \$1.3bn in 2020 and 2022. It remains unclear if this is part of a longer term trend. 20 private donors reported US\$1m or more of aid to education to OECD in 2022. The largest donor, Mastercard Foundation, spends on secondary and post-secondary but does not report any spending on basic education. By contrast, Lego Foundation only spends on basic education. The remaining private donors spend about half on basic education, a third on secondary, and the remainder on post-secondary.

Private donor	Aid to education, 2022 (US\$m)
Mastercard Foundation	792
LEGO Foundation	258

Conrad N. Hilton Foundation	88
Bill & Melinda Gates Foundation	34
Michael & Susan Dell Foundation	28
IKEA Foundation	27
UBS Optimus Foundation	26
Jacobs Foundation	23
Children's Investment Fund Foundation	21
Postcode Lottery Group	18
La Caixa Banking Foundation	12
Rockefeller Foundation	11
Oak Foundation	11
Ford Foundation	7
H&M Foundation	3
Bernard van Leer Foundation	3
William and Flora Hewlett Foundation	3
Bloomberg Family Foundation	3
John D. and Catherine T. MacArthur Foundation	2
Fondation Botnar	1

Some of the major actors and their areas of focus are listed below.

Mastercard foundation. The Mastercard foundation's reported aid to education varies greatly from year to year, but has been massive in 2020 (over \$1bn) and 2022 (US\$792m). The foundation's strategy is squarely focused on youth employment in Africa, and improving quality of education and vocational training to equip young people with the skills that employers need is one of the three main elements of their approach. The massive spike in education spending in these years may be due to their [COVID-19 Resilience and Recovery programme](#), which provided emergency funds to students and e-learning for students whose education was disrupted. The foundation's [Centre for Innovative Teaching and Learning](#) supports the integration of technology into education, including deployment and scale-up of edtech solutions.

LEGO Foundation has perhaps the strongest education focus of all the foundations. It funds play-based learning programmes including in humanitarian settings (refugee camps in Kenya, post-earthquake in Türkiye and Syria, and in Lebanon and Sierra Leone). It has major ongoing activities in Denmark, Colombia, Ukraine, Mexico and the USA. Its total [funding commitment](#) in 2023 was around \$200m, but much of this went to high-income countries, with around \$70m focused on humanitarian settings. [In 2022](#) it also gave grants for work in Bangladesh, Sierra Leone, Uganda, Ethiopia, Cote d'Ivoire, and Tanzania, and funded global work such as the [CUE Knowing-Doing network](#) at the Brookings Institution, and the WHO's scale up of parenting interventions.

Hilton Foundation has programme areas on [early childhood development](#), focused on the first 1000 days, in East and Southern Africa; on [refugees](#) with early childhood development and livelihood programmes in Colombia, Ecuador, Ethiopia and Uganda; and an [Opportunity Youth Initiative](#) with activities in Los Angeles, New Orleans, Mexico City and Mombasa.

Bill & Melinda Gates Foundation. The foundation works to improve foundational literacy and numeracy, specifically on the early grades of primary education in India and sub-Saharan Africa, through four areas of work: data and assessment, policy and advocacy, knowledge and tools, and evidence-based implementation. Projects supported by the Gates Foundation include the Science of Teaching project run by RTI International; the EdTech Hub; the World Bank-led Foundational Literacy Compact; the UNESCO GEM Report; and the What Works Hub.

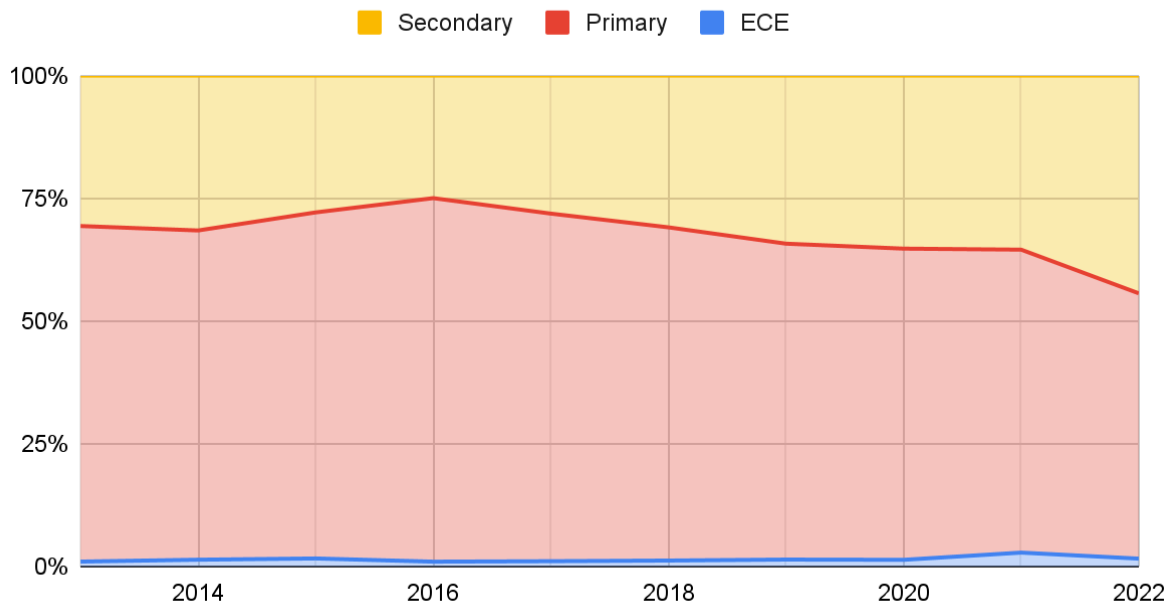
The Dell Foundation works in the USA, India, Israel and South Africa. Their education programme in India focuses on improving school results for underserved students, through statewide projects to improve student learning, teacher skills, school operations, and education leadership; helping teachers and school leaders use better assessment data; and university scholarships.

2. Changing trends in aid to education

The foundational learning agenda remains dominant. The recognition that despite large increases in enrollment, many children in low- and middle-income countries are not learning basic literacy and numeracy, continues to drive much of the aid and research agenda. However, there is some recognition that there is much unfinished business in relation to access and completion of primary and secondary school (Sandefur, 2022), and actors such as UNESCO argue for a broader agenda, and that elements such as ensuring a safe, healthy and supportive school environment are just as important for foundational learning as (for example) teacher training. Moreover, for the World Bank at least, there has been no apparent increase in projects targeting quality or learning as opposed to access since 2011, and projects focused on learning have been evaluated as performing less well (Bedasso & Sandefur, 2024).

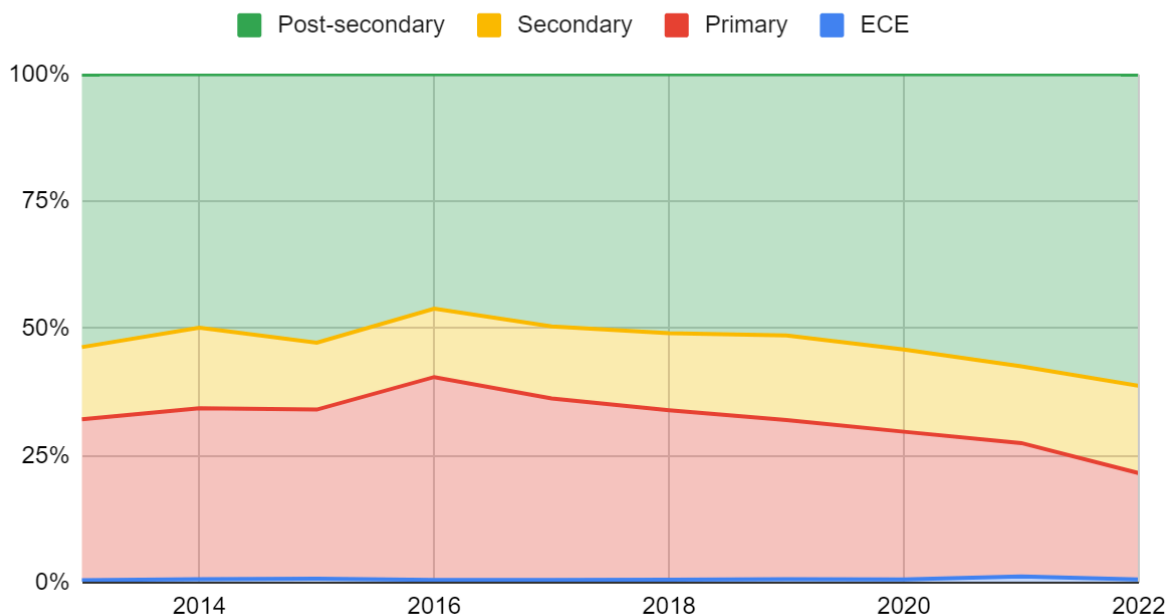
Secondary education. There has been a slight shift towards a larger proportion of funding going to secondary education. However, this reflects a decline in the total going to primary education (as noted above), while funding to secondary education has not changed much. Nevertheless, sustained secondary education funding by international donors may in part reflect a recognition that countries have achieved high levels of primary enrolment and are looking to expand their secondary education systems and make them free. As countries approach universal primary enrolment, they tend to shift their borrowing from the World Bank towards projects that focus exclusively on secondary (and also to ECE projects); however, this has not resulted in a larger share of World Bank financing for secondary overall (Bedasso & Sandefur, 2024). The Mastercard Foundation spent \$277m on secondary education in 2022, making it larger than any of the official bilateral or multilateral donors in this sub-sector. Germany is by far the largest bilateral donor to secondary education, with spending rising from \$138m in 2013 to \$431 in 2022. The EU, France, Switzerland, Canada, Korea, and the UK are among the other large donors to secondary education.

Aid by level of education, excluding post-secondary



Note: Data is from OECD. It includes only that portion of aid that is attributed to a specific level, and excludes higher, technical and vocational education.

Aid by level of education (including post-secondary education)



Note: Data is from OECD. It includes only that portion of aid that is attributed to a specific level. Post-secondary includes tertiary education and advanced technical and managerial training.

Harmonisation and localisation. The Global Education Cooperation Mechanism (GCM) - a cooperation and monitoring mechanism in support of SDG4 - and its high level steering committee (HLSC) have been considering options to reorganise the education aid architecture. At the [Global Education Meeting](#) in November 2023, slow progress towards SDG4 targets and the persistent global funding gap were highlighted. Education ministers for countries belonging to the Global Partnership for Education [called for](#) aid to be harmonised behind national priorities.

Girls' education and gender-transformative education remain a major focus for many bilateral donors as well as GPE. Recognising that many countries have closed or reversed gender gaps disadvantaging girls, at least in primary education, attention has turned to the role education can play in reinforcing or challenging gender norms, including in relation to higher education, work, and family.

Safety and violence prevention. The Global Partnership and Fund to End Violence Against Children was launched in 2016 as a flexible funding vehicle for SDG16.2 (ending abuse, exploitation, trafficking and all forms of violence and torture against children). The WHO's INSPIRE work on strategies for preventing violence against children (INSPIRE Working Group, 2021), the World Bank [investment case](#), a DFID guidance note on the same topic (Kangas et al., 2019), the [Safe to Learn Coalition](#) hosted at UNICEF, with a number of [recent projects](#) funded by the End Violence fund, all signal ongoing interest in this theme. Safety from violence is also a key strategy [in relation to gender and girls' education](#).

Climate change, sustainable development, resilience and education. Education that is both resilient to climate change, and can prepare learners for the future by teaching them about sustainable development, is an increasing focus especially for GPE (see its [climate smart education framework](#) and policy dialogue tool (GPE, 2023), UNESCO (through its [Greening Education Partnership](#) and resources such as an [Education for Sustainable Development toolkit](#)). However it remains to be seen if substantial funding will start flowing into programmes in this area.

Early childhood. Early childhood development (ECD), including early childhood education, has long been seen as a neglected area, despite some strong evidence about its impact for later life outcomes. It continues to account for a modest share of aid spending: \$282m in 2022, only 1.4% of the international community's total spending on education, and for bilateral donors only 0.4%. Moreover, recent increases have largely been driven by a single donor, the World Bank (van Fleet, 2024). Some recent projects suggest this may be starting to change. For example the Education Outcomes Fund together with the Lego Foundation [are launching outcomes-based funds](#) to expand access to ECD while FCDO started [THRIVE](#), a multi-country research programme on scaling up ECD. There has been a steady increase in World Bank projects targeting early childhood since 2011 (Bedasso & Sandefur, 2024)

School meals. Some donors continue to view school feeding as too expensive and liable to divert attention and funding away from core educational concerns (GEEAP, 2023). But it can arguably be seen as simultaneously a social protection, health and education intervention (Bundy & World Bank, 2011), and is gathering some momentum through the [School Meals Coalition](#) coordinated by the World Food Programme. It is often an important intervention in

fragile and crisis contexts. A key issue is how school meals can sustainably be funded at national scale from domestic financing, and what role aid can play in kick-starting that process.

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